

Small Business Plans

For small businesses, costs are always an issue. Small employers don't have the resources that large enterprises do. However, they have to compete against larger organizations for good employees. As a result, many small businesses will offer plans that help people save for retirement while keeping costs low. SIMPLE IRAs and SEPs allow employers to offer incentives with very little administrative cost.

SIMPLE IRAs and SEPs

The Savings Incentive Match Plan for Employees (SIMPLE) IRA is a plan offered by businesses with no other retirement plans and with fewer than 100 employees. As in 401(k) plans, your contributions and earnings are tax deferred. You can contribute up to \$11,500 a year with an additional "catch up" amount of \$2,500 for those fifty or over. The employer must either match 100 percent of your contributions, up to 3 percent of your salary, or contribute 2 percent of compensation for each eligible employee, even those who don't contribute to the plan.

A Simplified Employee Pension (SEP) IRA is similar to a SIMPLE IRA, except that only your employer can contribute. The disadvantage of this plan is that you have no control over how much goes into your plan because you can't contribute any of your own money, but if you're self-employed, you're the employer and the employee at the same time, so you get to control things. The limit on employer contributions is 25 percent of your compensation up to a maximum of \$50,000 in 2012. With both the SIMPLE IRAs and the SEP IRAs, you can still invest in a traditional or Roth IRA.

Solo 401(k) Plans

Solo 401(k) plans are among the most powerful options available to small businesses, but they only work for a one-person (or family-only) business. They share many of the characteristics of a standard 401(k) plan,